

Payloom — payroll, onboarding, equipment and benefits in one system

The Problem

A company of 120 people in Europe runs payroll in one system, onboarding in a second, equipment procurement in a spreadsheet, and benefits enrolment through a broker's portal. Nothing reconciles. When someone joins, four records are created by three people, and when someone leaves, at least one of them is forgotten — most often the laptop, occasionally the benefits enrolment, which is how companies end up paying for health cover on employees who left eight months ago.

The HR lead at that company spends an estimated eleven hours a month on reconciliation that produces nothing.

Our Solution

Payloom holds one employee record and drives everything from it.

Hiring someone triggers the payroll entry, the onboarding checklist, the equipment order and the benefits enrolment from a single form. Offboarding reverses all four, including the device return, which is tracked to a serial number rather than to a name in a spreadsheet.

The system covers eleven European payroll jurisdictions natively and integrates with local providers in six more.

The Market

European HR software is around \$9.4B and growing 11% a year, driven by two forces that are not going away: remote hiring across borders, which multiplies jurisdictions per company, and a compliance load that grows every year in every country.

Our segment is companies of 50 to 500 employees, of which there are roughly 340,000 in our covered markets. Below 50 the problem is tolerable in spreadsheets; above 500 the buyer wants a suite with a procurement process to match.

Competition

This is a crowded market and we will not pretend otherwise.

Three international platforms cover payroll and onboarding well. Two European players cover payroll and benefits. Device management is served by four specialist vendors, all of which integrate with everyone.

Every individual feature we ship exists somewhere else, usually in a more mature form. What does not exist is the four of them on one record, and our entire differentiation is that seam. A competitor who buys a device management vendor closes it, and two of them have the balance sheet to do that.

The Team

Marit Haugen ran HR operations for a 2,000-person company across nine countries and led its payroll consolidation. Piotr Zalewski was an engineering lead on a payroll platform serving the Nordics, and built its multi-jurisdiction tax engine.

Twenty-six people, nine of them in compliance and payroll operations — the unglamorous half of this business and the half that decides whether it works.

Traction

- 94 paying companies covering 8,100 employees
- €1.7M annual recurring revenue
- 3.4% annual logo churn
- average contract €18,400, up from €14,100 eighteen months ago

Sales cycles run 40 to 70 days. Two thirds of our wins replace a payroll incumbent, which means we win on consolidation rather than on any single capability.

Business Model

€9 per employee per month for the core, €4 for benefits administration, €6 for device management. Annual contracts, paid up front.

Gross margin is 74%. Acquisition cost is €4,900 against €18,400 of first-year contract value, and net revenue retention runs at 112% as customers add employees and modules.

Go-To-Market

Outbound to HR leads, plus a partner channel through accounting firms that already run payroll for these companies — 23% of new business last quarter, at roughly half our direct acquisition cost.

Funding

We are raising €12M to cover six more payroll jurisdictions and build the integration depth that makes the single record hard to unpick.